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RESEARCH REPORTS

An Overview of IDO Launchpads

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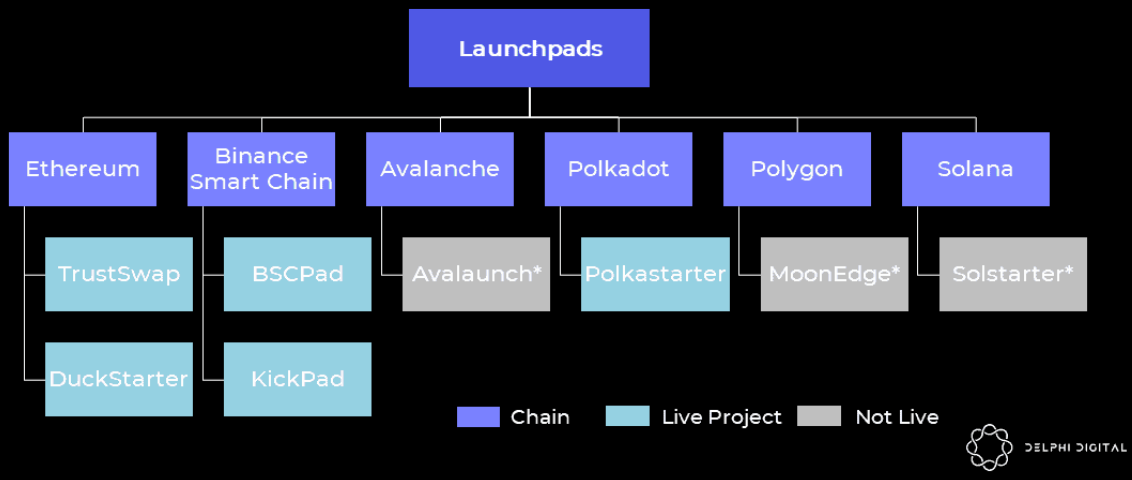


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Avalance | Avalaunch | Binance Smart Chain | BSCPad | DeFi | KickPad | L1 / L2 | Launchpads | Polkadot | Polkastarter | Polygon | Solana | Solstarter | TrustSwap

Disclosure: Delphi Ventures has invested in BSCPad and other launchpads mentioned below which will soon be announced. This statement is intended to disclose any conflict of interest and should not be misconstrued as a recommendation to purchase any token or participate in any IDO. This content is for informational purposes only and you should not make decisions based solely on it. This is not investment advice.

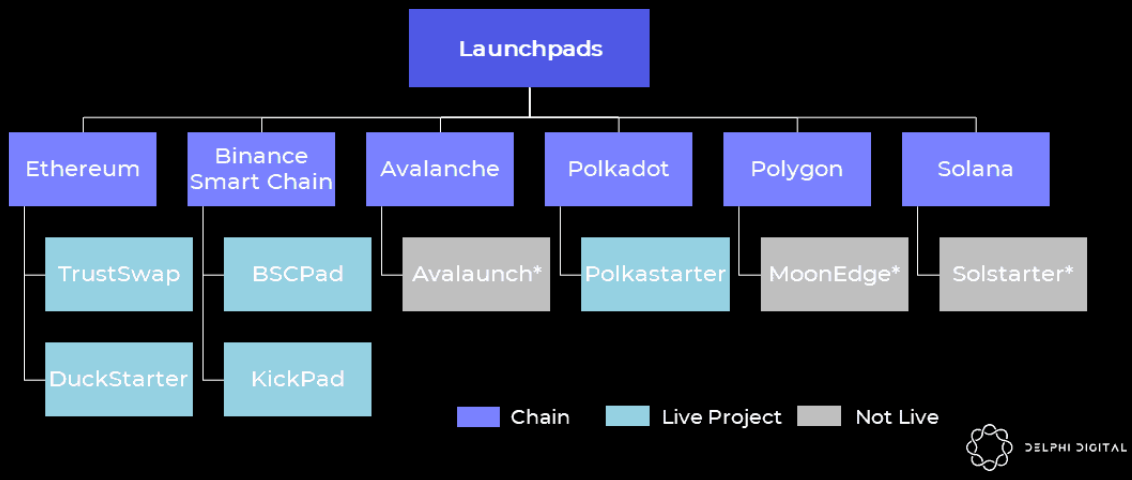
Launchpads Across Different Ecosystems



The current crypto bull market has seen an unprecedented number of new projects looking to raise capital. While some are undoubtedly in it for the quick cash grab, effective fundraising methods are necessary for developing ecosystems and building towards the decentralized future. Some popular fundraising methods include IEOs (Initial Exchange Offerings), ICOs (Initial Coin Offerings) and LBPs (Liquidity Bootstrapping Pools). This post will cover the emergence of another form of fundraising – IDOs (Initial DEX Offerings) on launchpads. We believe well designed launchpads can play an important role bootstrapping ecosystems, filtering out low quality projects, offering more equitable token distributions and helping developers get their ideas off the ground.

At a high level, launchpads generally work the following way. In order to get access to a new token that's launching, participants need to stake the launchpad's token and participate in its community for an allocation. This can offer an improvement over your typical token launch, where VCs and front running bots immediately get first dibs, pricing out smaller players who otherwise might have been interested earlier on. Under this new approach, if you're interested in backing early-stage projects in a growing ecosystem, you can simply become a member of the launchpad community to get access to them.

Launchpads Across Different Ecosystems



The current universe of launchpads are focused on bootstrapping the ecosystems of specific layer 1s, as the graphic above illustrates. We have yet to see a multi-chain launchpad although that may change in the future.

Among the various launchpads, there are several differences worth noting related to their distribution mechanics. A new class of IDO launchpads are attempting to address the inability of their predecessors to have fair allocations and organic community participation. Older launchpads, like Polkastarter, may facilitate unfair participation and inequitable allocations due to their double whitelist and lottery systems. Whitelisting, in this context, mostly requires participating in quizzes, art contests, submitting personal social media handles and following groups. If selected via a lottery system, governance tokens need to be staked for pool access. Participants forced into social media engagement will likely be the first to bolt. Leaving an allocation to chance is contrary to fair distribution and disincentivizes participation.

An example of a new launchpad is Avalaunch, the pioneer launchpad on the Avalanche ecosystem. Avalaunch plans to implement a two-phase 'Fair Raise' model while guaranteeing an allocation for stakers of the native token. The first phase involves a sale that is accessible to stakers and promises a guaranteed allocation. The next phase is a second sale accessible to the public, who are not required to hold the platform's native tokens.

Comparison of Launchpad Features

	TrustSwap	BSCPad	KickPad	Polkastarter	Solstarter*	Avalaunch*
Anonymous Team	✗	✗	√	✗	✗	✗
Ecosystem	Ethereum	BSC	BSC	Polkadot	Solana	Avalanche
Tiered vs Pooled Weight	Tiered	Tiered	Pooled Weight	N/A	Tiered	Tiered
Time Weighted Allocation	√	✗	✗	✗	TBD	√
Guaranteed Allocation	√	√	√	✗	√	√
No. of Launches	14	6	1	40	N/A*	N/A*

** These projects have not been launched yet*

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At this point you may be asking yourself – "who gets to launch on a launchpad?". This brings up two important topics – 1) permissionlessness and 2) curation. Letting people permissionlessly launch liquidity pools has been one of Uniswap's greatest strengths but it also comes with the added risk of scams accessing liquidity through it. While there are both pros and cons to being permissionless, we would argue that the benefits greatly outweigh the negatives in the case of Uniswap and for many other projects. However, since launchpads have the specific intent of helping early stage projects fundraise, there needs to be a curation aspect to ensure scams are being filtered out.

Launchpads can address this by introducing unique safety features which create assurances for their users. A vital safety check is a thorough vetting process where teams and advisors undertake due diligence to filter quality projects for launchpad participants. The current trade-off for this is a centralized component because the launchpad team needs to do the vetting / curation. However, as launchpads mature, a more decentralized decision-making process can be developed, such as electing a council. This can be seen with Polkastarter, which recently broadened the members on their council. If the community can elect council members, it will further decentralize the vetting and sourcing process.

There are other measures being taken to improve upon the legacy token launch process as well. For example, the launchpad can support built-in vesting functionality. In the absence of this, people would need to trust the project's development team that their tokens won't unlock for a long period of time. Now,

they'll be able to transparently verify this themselves directly on the launchpad instead. Locks can also be put in place to ensure that the development teams who raise funds through the platform can't run off with the money.

Launchpads go beyond simply launching a token though. They can also act as a concierge for early-stage projects by providing them with a variety of resources to help get their ideas off the ground. These range from advisory services, code auditing and aiding underdeveloped areas in the project. IDOs typically pay a fee to be listed on a launchpad but, in return, they can receive invaluable contributions that benefit the long term longevity of the project.

We're still in the early innings of figuring out the optimal way to fund good ideas, create fairer distributions and bootstrap ecosystems. Launchpads can play an important role in this regard. With that being said, if you're interested in IDOs we highly suggest that you err on the side of caution and do your own research before making any decisions, even after the launchpad has done its vetting process.

We expect that launchpads will continuously improve and decentralize over time. Importantly, we're excited to see the ecosystems they help get off the ground.